

However, the scaffolding is emerging for a historic disruption of our current financial infrastructure. DeFi, or decentralized finance, seeks to build and combine open-source financial building blocks into sophisticated products with minimized friction and maximized value to users utilizing blockchain technology. Given it costs no more to provide services to a customer with \$100 or \$100 million in assets, we believe that DeFi will replace all meaningful centralized financial infrastructure in the future. This is a technology of inclusion whereby anyone can pay the flat fee to use and benefit from the innovations of DeFi.

DeFi is fundamentally a competitive marketplace of decentralized financial applications that function as various financial “primitives” such as exchange, save, lend, and tokenize. These applications benefit from the network effects of combining and recombining DeFi products and attracting increasingly more market share from the traditional financial ecosystem.

Our book details the problems that DeFi solves: **centralized control, limited access, inefficiency, lack of interoperability, and opacity**. We then describe the current and rapidly growing DeFi landscape and present a vision of the future opportunities that DeFi unlocks. Let’s begin with the problems.

FIVE KEY PROBLEMS OF CENTRALIZED FINANCIAL SYSTEMS

For centuries, we have lived in a world of centralized finance. Central banks control the money supply. Financial trading is largely done via intermediaries. Borrowing and lending are